

Fifty years ahead of their time, they foresaw the imperative of the cash flow statement. They also described the frauds and accounting manipulations that led to many of the largest ever corporate bankruptcies around 2001. These, helped along by the telecom and dot-com debacle in the early aughts, launched distressed investing as a lucrative branch of the hedge fund industry.

Graham and Dodd insisted that the connection between the financial statements is more informative than the static study of each, highlighting “the necessity of *relating* an analysis of income accounts to an examination of the appurtenant balance sheets” (emphasis mine). (Chap. 33) “The meaning of any income statement cannot properly be understood except with reference to the balance sheet at the beginning and at the end of the period.” (Chap. 31) The cash flow statement is the report that neatly links the frozen picture of the balance sheet to the dynamic but mostly noncash, manipulable income statement. Not until 1987 did SFAS Statement No. 95 mandate that firms provide a cash flow statement, a disclosure that present-day distressed investors rely on extensively.

In the subsequent chapters of the “Analysis of the Income Account” section, Graham and Dodd proceed to describe accounting tricks and schemes on the income statement, from slightly deceptive to outright fraudulent. The current distressed investor would do well to study them, as “those who do not remember the past are condemned to repeat it.”² The prehistory of distressed investing is in there. Manipulation of depreciation reserve? WorldCom is exhibit A. “Padding income by including items in earnings that have no real existence”? (Chap. 33) I give you Global Crossing. “Depreciating 609 often an issue in mergers”? (Chap. 31) Ask Tyco. “Earnings subject in extraordinary degree to arbitrary determination and manipulation”? (Chap. 31) Here’s Enron.

² Benjamin Graham, *The Intelligent Investor*, 1949, Harper & Brothers.